

April 7th, 2025

Some may be licking their wounds after this week, only to look up and see others sitting ringside enjoying the blood bath. How can someone have seen this week coming? Nobody can predict exactas – maybe at the derby in May – but everyone can surely look around their environment and see warning shots. The stock market is just as much a buddy-buddy game as it was 200 years ago. They can't start the race on the first shot. In our modern market, there are always warning shots fired before you see what happened this week take place. I repeat that with zero hesitation, *always*. Why is this? Because they have to allow themselves and their “buddies” ample opportunities to exit. It's during these foggy times when the retailers' cry of “buy the dip” works perfectly to their advantage. This is why they are retail and not “buddy”.

In the chart below you'll notice three different colored arrows. These represent the three warning shots I made note of during the recent topping phase. The first of these, the yellow arrow, depicts the initial warning shot. This occurred on December 18th and was driven by massive insider selling. To be a savvy investor, you cannot disregard this type of price action. Towards the end of December, the market was also digesting the soon to be DJT47 administration and its effects on the future market. Like I've mentioned in previous writings, the market will hang on every single word DJT mutters. The only difference now is Trump 2.0 is much smarter. They've learned from the first term that to enact acute change across global financial markets you have to do it after hours. It's much easier to move the market then.

“The world awaits the market open today, as DJT took the oath of office yesterday to become the 47th president of the United States. The new regime is sure to bring with it ample market volatility. I believe that is going to be a major theme for investors over the next four years.”

January 21st, 2025

Luke C. Cagle



*SPY ETF, market close April 4th, 2025

The second warning shot, the orange arrow, occurred on January 7th, 2025. Again, investors had an opportunity to exit around the top of the market cycle. Many of us remember the day of Trump's second inauguration, the market gapped up 3% and came roaring back to all-time highs. They were nice enough to let it chop for almost an entire month before releasing the tariff hound. Investors received their final warning shot on February 21st, represented by the green arrow. At the market close of that day, you needed to make a decision. Luckily, I had spent the prior month pondering market emotions and was already positioned solely in cash beginning around early to mid-February. This decision was predominantly luck driven by psychological discomfort.

"My overall feeling of this market is that there is a large number of people standing right where the waves crash on the sand. Are they screaming "shark!"? Or is it a dolphin? I personally see and feel sharks everywhere in today's market. I truly believe we are witnessing a new world order take effect and the pains we feel are because we face multiple enemies across multiple facets of the global economy. Heavy thoughts of course, but it does not necessarily make me a pessimist when thinking about the future.

Overall the market feels weak, with NVDA seeing considerable retraces back to August '24 levels. You'll also see it rally 9% after a morning margin call. All of which leads me to be more cautious. The leveraged indexes UPRO and SPXU have been cash cows for the sophisticated trader. I believe they continue to over safe relative R/R scenarios moving forward."

March 4th, 2025

Luke C. Cagle

As it stands, the market is down over 14% year-to-date, with the majority of those losses taking place in April. You will get confirmation of a short term reversal when you see NVDA and the Nasdaq lead that charge. Without that component, it is impossible for the market to sustain a rally. The spring is loaded for a strong rally whenever Trump decides to whisper good news. It will be volatile and unannounced, just like the recent downside move. This will be another great trading opportunity for those who are expecting. For now, I'm fine being a benchwarmer in this market.

A handwritten signature in black ink, appearing to read 'L. Cagle', with a stylized flourish at the end.

Luke C. Cagle